

Normal and inferior goods



Suppose you get a pay rise. Feeling richer, you increase your consumption of your favourite beer. In this case, the beer is what is known as a normal good: consumption of it rises with income, and if your income fell you would consume less of it.

But now you are richer, you also drink less of that cheap brand of cider you used to consume. In this case, the cider would be an inferior good – you consume less of it as your income rises, more of it when poorer. Luxury goods like caviar or sports cars can be thought of as a special type of normal good for which consumption increases by proportionately more than income when income rises.

Of course, a good may sometimes be normal and sometimes inferior depending on the level of a consumer's income. If I get a

pay rise I might drink more beer, but if I then win the lottery, I might ditch the beer completely and only ever drink champagne.